Diageo plc (LSE: DGE)

Rating: BUY (model output; PM to confirm or override) | Fair value 2,475p | Share price 1,673p (12 Oct 2026) | Upside +48.0%

Thesis

- **Cash is recovering while the share price sits near its low.** FY26 free cash flow rose to USD 3,211m from USD 2,748m, and leverage eased to 3.14x from 3.35x. The stock is 66.8% below its January 2022 peak and trades at 13.4x FY26 EPS before exceptionals.
- **Self-help is quantified.** Management targets c.USD 1bn of savings (USD 850m operating framework, USD 150m supply chain). At our 50% flow-through, the EBIT margin rises from 29.4% (ex-EABL base) to 31.9% by FY28.
- **Disposals de-risk the balance sheet.** EABL (c.USD 2.3bn) and Royal Challengers Bengaluru (our share c.USD 1,018m) bring leverage back towards the 2.5-3.0x target.

Valuation

The DCF is in USD and converted to pence at USD 1.3234 per GBP. Base-year net sales are USD 18,505.5m excluding EABL. Organic growth is 0.0%, 1.5%, 2.5%, 3.0% and 3.0% (FY27-31, low end of guidance), with 50% savings flow-through and 2.0% terminal growth.

WACC is 6.21%: risk-free 5.22% (US 10-year), beta 0.48 (peer median), ERP 5.0%, cost of equity 7.60%, pre-tax cost of debt 3.81%, debt weight 29.4%. The model gives an enterprise value of USD 86,751m and an equity value of USD 72,789m, which is USD 32.76 or 2,475p per share. The bear scenario (no growth, 25% flow-through, WACC +1 point) gives 1,732p (HOLD).

Comps are thin: only two peers have usable data. A median P/E of 14.0x (Pernod Ricard 10.7x, Brown-Forman 17.4x) implies 1,753p (range 1,334p to 2,172p). **The DCF is 41.2% above comps, and the terminal value is 82.7% of EV.**

Value per share (p)	g 1.5%	g 2.0%	g 2.5%
WACC 5.71%	2,525	2,873	3,330
WACC 6.21%	2,206	2,475	2,818
WACC 6.71%	1,948	2,162	2,427
WACC 7.21%	1,735	1,909	2,119

Fundamentals

- **Growth has stalled:** organic net sales growth was 6.5% in FY23, then -0.6%, 1.7% and -2.0% in FY26. North America (USD 7,249m) fell 8.4% organically. Africa grew 13.3% and Latin America & Caribbean 7.7%.
- **Margins have compressed:** operating margin before exceptionals went from 31.1% (FY22) to 28.9% (FY26). Exceptional charges of USD 2,527m cut the reported margin to 16.1%.
- **Cash is improving:** free cash flow went from USD 2,235m (FY23) to USD 3,211m (FY26). Lower capex (USD 1,197m) helped.
- **Balance sheet:** interest cover fell from 13.6x (FY22) to 7.0x (FY26). ROIC is 13.4%.

Risks

- Beta vs the FTSE 100 is 0.37 on 5-year monthly returns, but the R-squared is only 0.04. We use the peer median of 0.48. Both are unreliable measures of Diageo's risk.
- Volatility is 31.6% (1 year) and 24.1% (5 years), against 12.5% for the FTSE 100.

- The maximum drawdown was -66.8% (4 Jan 2022 to 24 Mar 2026).
- Leverage is 3.14x adjusted net borrowings / adjusted EBITDA, above the 2.5-3.0x target. The dividend has been cut to a 30-50% payout.

Bear case and our response

1. **Cost of debt (3.81%) is below the risk-free rate (5.22%).** At 6.22%, the value is 2,141p (-334p). *Response: still a BUY; the brief should define the cost of debt as Rf plus a spread. PM to respond.*

2. **Beta of 0.48 understates the risk.** At beta 1.0, the value is 1,573p (-902p, HOLD). Combined with challenge 1, it is 1,407p (SELL). *Response: PM to respond. This is the decision that sets the rating.*

3. **Savings are reinvested, not kept.** 25% flow-through gives 2,335p (-140p); 0% gives 2,195p (-280p). *Response: still a BUY even at 0%.*

4. **Terminal growth vs a shrinking spirits market.** 1.5% gives 2,206p (-270p). *Response: still a BUY; volumes are falling, but pricing has historically offset this. PM to respond.*

5. **Management missed every 2023-26 incentive target:** organic sales CAGR -0.3% against a 4.0% threshold. Zero growth gives 2,392p (-83p). *Response: the valuation does not depend on growth; it depends on the discount rate.*

6. **Net debt is stale.** The 30c final dividend costs 23p. *Response: immaterial.*

Strongest reason not to buy: the upside depends on a 6.21% WACC. At a market cost of capital, the same model gives 1,407p.

Sources

- Diageo Form 20-F FY26 (SEC accession 0001628280-26-057529): financial statements, p.13, p.21, p.22, p.85, p.110, p.186-189, p.210-211, regional reviews pp.27-31.
- Diageo 20-F FY22-FY25 (SEC EDGAR XBRL); Capital Markets Day 6-K, 6 Aug 2026.
- Yahoo Finance (DGE.L, FTSE 100, peer prices, KES/USD); FRED (DGS10, DEXUSUK).
- Non-filing: EABL FY26 results (press), RCB sale (USL/press), Pernod Ricard FY26 (press), IWSR (press).
- Agent outputs: runs/DGE/2026-10-12/ (data, risk, fundamentals, valuation, bear).